

Business Economics: Topic 2

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Topic 2: Markets and Organizations

Objectives:

- 1) Understand and apply the concept of Pareto efficiency**
- 2) Understand the concept of comparative advantage**
- 3) Explain the forces behind the equilibrium level in competitive markets**
- 4) Understand why firms exist in free-market economies**

How is the economic activity taking place?

Economic system: What to produce, how to produce it, how to allocate the final output

Free-market economy: individual decisions are coordinated through the price mechanism

Individuals take voluntary decisions based on their personal preferences, restrictions, and market prices

The price of a good aggregates all economic-relevant information dispersed among economic agents

Centrally-planned economy

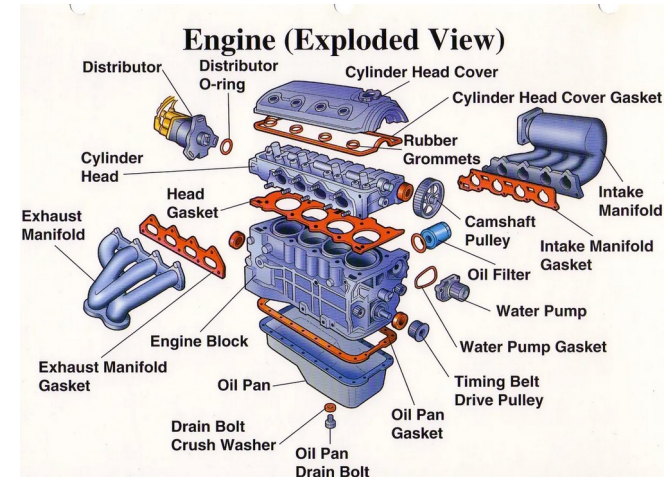
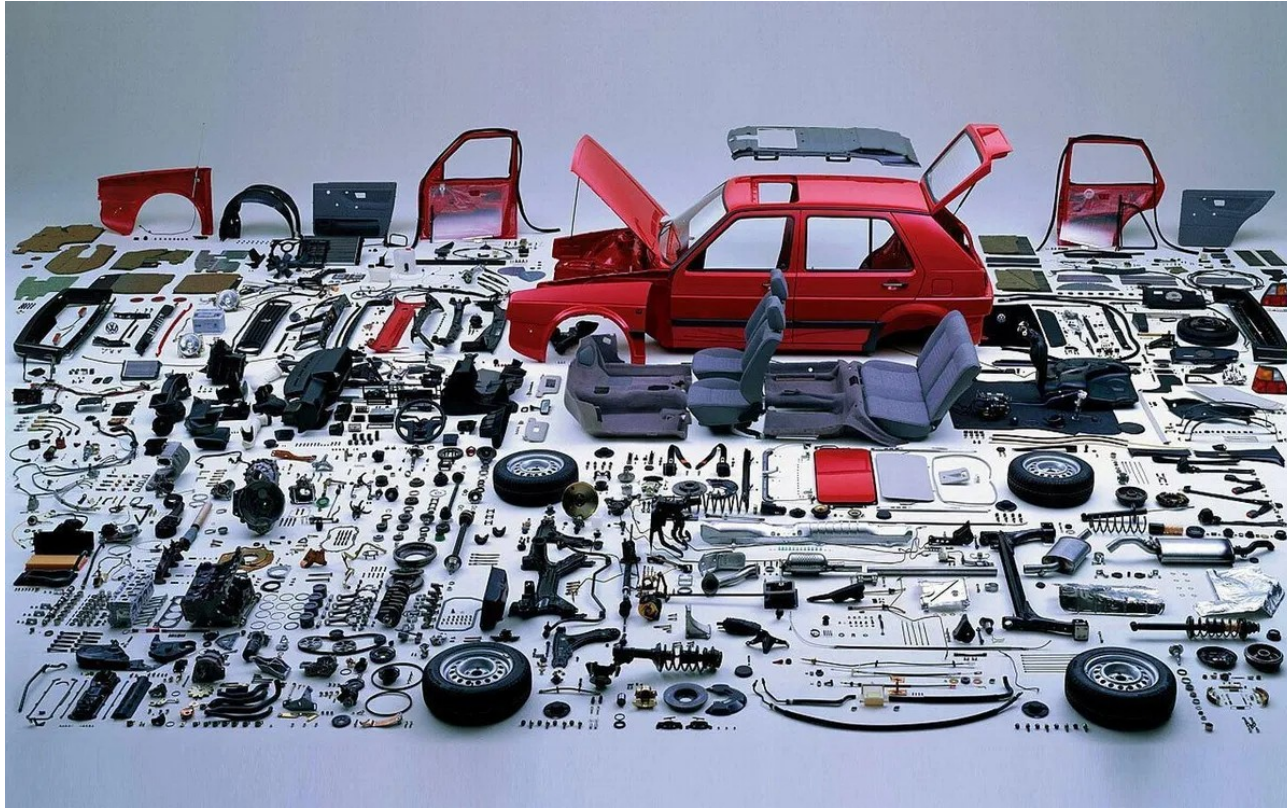
How is the economic activity taking place?

But most of the economic decisions in the world are allocated within firms

A big part of the transactions needed for elaborate a firm's outcomes involves exchanges among the firm's operative units, so are not (free-) market exchanges

One could say that firms' economic activity is decided by a centralized planner (CEO), the opposite of free-market coordination.

How is the economic activity taking place?



What is the best way to organize economic activities?

The definition of “best” might depend on each individual’s preferences, so it’s controversial to find an aggregate optimum.

Example: how would you organize the calendar of case presentations? Alternatives, preferences, restrictions.

One popular criterion widely accepted among economists is the Pareto efficiency: “there exists *no alternative* production/distribution of goods that keeps all individuals at least as well off but makes even one person better off”

If an economic system is not producing or distributing goods efficiently, it is conceptually possible to make its members better off by adopting Pareto-improving change

What is the best way to organize economic activities?

Pareto-Efficiency and Inequality

Suppose you and your friend find \$100 on the street

How can you distribute/allocate this resource?

Are all of them Pareto-efficient? Limitation: which is the best one?

Are all of them fair? The role of inequality

Let go back to a production/distribution economy: What should be the goal of the economic system?

Suggested reading

A market economy requires property rights

A property right is a legally enforced right to select the uses of an economic good

A property right is private when it is assigned to a specific person. Private property rights can be transferred (sold or given) to another individual

For example, if Valeria Fontana owns an automobile, she can use the automobile as she sees fit (within limits set by traffic laws). Valerie can restrict others from using her vehicle.

In a market economy, private property right owners have the legal rights to decide how to use their resources. They can decide to use the resources or selling their property rights to other individuals

This is not the case in a centrally planned economy, where properties are owned by the state and government officials decide their use.

A market economy requires property rights

A property right has two (independent) legal dimensions:

- 1) Right to use
- 2) Alienability right (right to sell or transfer)

Consider the following hypothetical legal contract from a private property right perspective.

- 1) contract to sell your car
- 2) contract to sell one of your kidneys
- 3) contract to lease/rent your car

Gains from Trade

So people order the alternative uses of its properties in terms of their preferences.

They pick the actions that maximize their level of satisfaction/utility

Why do they trade?

Because buyers place a higher value on those items/services than the sellers

The corresponding gains from trade make both parties better off: Pareto efficient!

This is important because it means that voluntary trade is mutually advantageous

Where do these gains from trade come from?

Different preferences

Comparative advantage: seller can produce the item more cheaply than the buyer

Comparative Advantage

Individuals having property rights on goods have to decide what to do with them:

Consumption

Saving them for the future

Use them for producing other goods (this course!)

What should they produce? The role of comparative advantage

Comparative Advantage

Example (from the “Brickley et al.”)

1) Absolute advantage vs Comparative advantage

2) Mario has a comparative advantage (lower opportunity cost) for producing beer:

$1\text{q of beer} = 1/2\text{p of meat (Donna's)} = 2\text{p of meat}$

3) Donna has a comparative advantage in hunting

$1\text{p of meat} = 1/2\text{q of beer (Mario's)} = 2\text{q of beer}$

4) After specialization comes bargaining (panel D)

A. Time it takes for Donna and Mario to produce meat and beer

	Meat (1 lb)	Beer (1 quart)
Donna	1 hour	2 hours
Mario	6 hours	3 hours

B. Allocation of time (30 hours per week) and output prior to specialization and trading

	Meat	Beer
Donna	18 hours; 18 lbs	12 hours; 6 quarts
Mario	18 hours; 3 lbs	12 hours; 4 quarts
Total production	21 lbs	10 quarts

C. Production with specialization

	Meat (lbs)	Beer (quarts)
Donna	30	0
Mario	0	10
Total production	30 lbs	10 quarts

D. One possible allocation after trading

	Meat (lbs)	Beer (quarts)
Donna	23	6
Mario	7	4

Table 3.1 Comparative Advantage

Comparative Advantage

Specialization and trading are common features in “market economies” around the world

Important for us, it also arises in managerial situations

CEOs create gains from “delegating” to specialized Managers: Marketing, Sales, auditors, IT, Operations, etc.

Basics of Supply and Demand in a market economy

So individuals trade for capturing gains from free market transactions

But markets consists of thousands (if not millions of people)

Why we don't see (frequently) huge shortage or surpluses of goods

How do they coordinate? The market-price system

Basics of Supply and Demand in a market economy

The market-price system

The market includes all potential buyers and sellers of the item

So many buyers and sellers that individual transactions are not relevant for the overall market

The price is not affected by any single sale

No economic agent has economic power

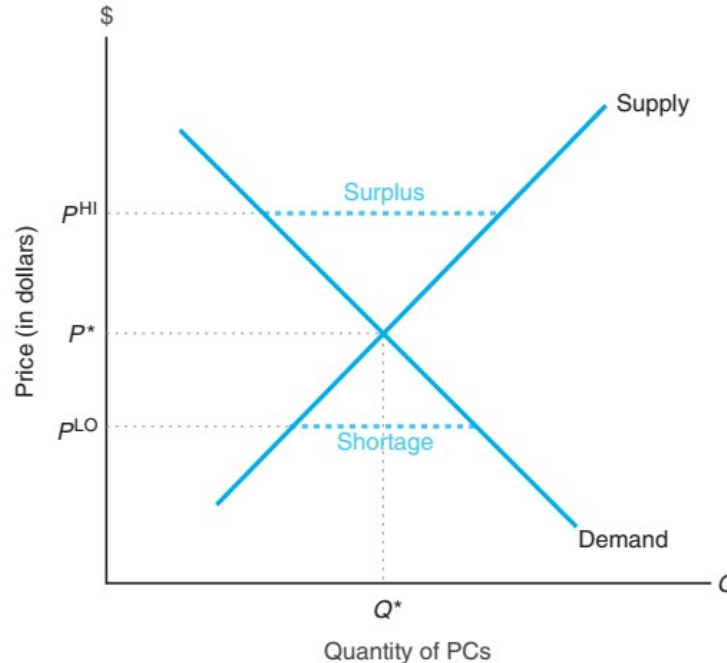
All trades are made at the market price

This is what economists define as “competitive markets”

Basics of Supply and Demand in a market economy

Figure 3.2 Supply and Demand in the PC Industry

The demand curve shows the number of PCs that consumers want to purchase at each price. The supply curve shows the number of PCs that producers want to sell at each price. Equilibrium occurs where the two curves intersect. Here, the quantity supplied equals the quantity demanded. If the price is above the market-clearing price of P^* , say at P^{HI} , there is a surplus of PCs. Producers supply more PCs than consumers want to purchase, and inventories build. If the price is below the market-clearing price, say at P^{LO} , there is a shortage. Producers supply fewer PCs than consumers want to purchase and inventories shrink. Surpluses and shortages put pressure on prices and quantities to move to equilibrium levels of P^* .



Key concepts:

- Market-clearing (or equilibrium) price
- Market pressures in shortage or surpluses scenarios
- Static equilibrium... but what happened if supply or demand curve shifts?

Basics of Supply and Demand in a market economy

It is important to distinguish between shifts in demand/supply curves (change in demand or supply) and changes along the given curves (changes in the quantity demanded/supplied)

- Curve shifts: changes in non-price variables leads to increases/decreases in supply/demand (at any given price)
- Movements along the curve: driven by a change in price (holding other variables constant). It changes the *quantity* demanded/supplied

Prices as a social coordinator

The equilibrium of supply and demands highlights the informative role of market price to *coordinate production and consumption decisions* of individuals

If everyone trades in a competitive marketplace and all mutually advantageous trades are completed, the price system results in a *Pareto-Efficient* resource allocation.

Consumers and producers, acting in their own self-interest, react to price signals in a manner that produces an efficient resource allocation

Firms have strong private incentives to pursue the most efficient production methods and the value-maximizing output mix

No changes in consumption nor production can be made without making someone worse off

Government intervention: price control

Price Cap: given that the regulated price is lower than the market price, the intervention produces an excess demand and production shortage. This situation implies that the regulated good must be allocated through non-price mechanisms.

Goods may be allocated via arbitrary methods like queuing (waiting in line), lotteries, favoritism or even violence

It also distorts other related markets, and create incentives for black markets.

Example: gasoline price cap and its effect in gasoline and transportation markets

Government intervention: price control

Price Floor: given that the regulated price is higher than the market price, the intervention produces a shortage in demand and supply excess.

Example: labor market and minimum wage.

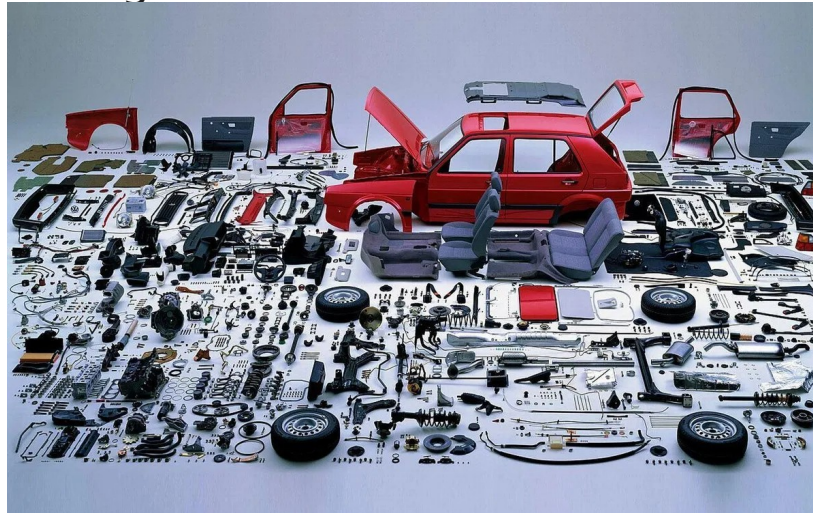
In general, economic evidence is consistent with price control results in shortages, lack of investments, quality degradation, and an overall consumer welfare

Notice that other economic regulations that we will discuss today have positive welfare effects. So it is not about not economic regulations, but about good ones.

Why do firms exist?

If markets economies produce Pareto-efficient solutions, why do we need firms that behave so closely as central planners?

All production and exchange can be carried out via market transactions



Why do firms exist?

In reality, firms carried out a large fraction of economic transactions within their border.

Example: transferring a manager from one division to another.

There is no market price for the manager.

Divisions do not bid to hire the manager.

Why do firms exist?

Firms exist because market transactions involve contracting costs such as:

- Search cost
- Information cost
- Bargaining/decision cost
- Policing/monitoring/enforcement cost

In many cases, the economic organization that minimizes these contracting costs is the firm.

Reducing these costs makes transaction cheaper and safer!

- Here there is a lot of room for good economic policies: product labeling, consumer/lender protection, commercial law, and so on.

Why do firms exist?

An example of the benefit of arranging economic activity through firms

Suppose 10 highly specialized workers are needed to ensemble a supercomputer and there are 1000 customers.

In a fully free-market economy, there must be $10 \times 1000 = 10.000$ negotiations to reach an efficient allocation of the supercomputers

However, a firm must negotiate 10 times (contracting workers) + 1.000 times (dealing with costumers) = 1.010.

Besides, the firms can specialize in the type of knowledge needed, thus, getting an informational competitive advantage. Costumers do not need to know the specs of each computer component.

Why do firms exist?

However, there are limits for the firms' advantage in contracting costs:

Larger firms are difficult to manage efficiently

Large firms do not respond fast to changes in the environment

In large firms, some value-relevant decisions are delegated to employees who do not bear the consequences of their decisions

Summary

Main concepts

Free-market economy

Central planner

Pareto efficiency

Property rights

Comparative advantage

Price control

Contracting costs

Cases to discuss

Present an real case related to some of the topics of the class.

The case should be based on recent news (<2 years) and preferably related to Spanish companies/cases.

Start the presentation with the theory section, then the case, and finally apply the theory to conclude/assess the case.

10 min, 7-11 slides

Examples:

- 1) property rights and the “Okupas” problem.
- 2) Spain or EU regulation that reduce or increase transaction costs.